

drop to the top of that knot and start to rebound (perhaps as part of a pullback).

- In another scenario, look from the launch price on the left side of the V to the breakout price. If it's a straight-line run-up, a fast-paced rise but there's no knot to park a sell order at, then divide the run in half and use that.

For example, if the launch price is 25, the breakout price (not the pattern's top) is 30, and price makes a vertical run up to the V-top, then place an order to cover the short at 27.50. That's halfway down from the breakout to the launch price.

- If the stock is moving sideways, forming a flat base (perhaps month's long) and a V-top appears, then don't short the stock. It's a trap. The stock will likely rise, bouncing off support set up by the flat base.
- If the stock is moving down at a steady clip, at least a month (but can be several months long) of steadily falling prices (like a 30-degree decline), then a short sale of the V-top can be rewarding. The stock after the V-top confirms just drills itself into the ground.

Sample Trade

[Figure 71.4](#) shows this chapter's sample trade using a V-top a bit differently than one would expect.

Jim watched the price of the stock climb in a straight-line run up from A to B and retrace to C. He made sure that the pattern was tall enough to qualify as a V-top (at least 15%) and that the retrace of the AB move was deep enough (at least 38.2%). He also measured the drop from the breakout price to the bottom at C to be sure it would qualify as a busted V-top (the drop below the breakout price must be less than 10%, which it is, but it's an arbitrary limit).